26STCV07293 26STCV07293

County: los-angeles

Division: Civil Law and Motion

Department: 734

Hearing date: 2026-07-02

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Case Number: 26STCV07293 Hearing Date: July 2, 2026 Dept: 734

The
following tentative ruling is issued pursuant to Rule of Court 3.1308 at 9:04 AM on July 1, 2026.

Notice
of intent to appear is REQUIRED pursuant to California Rule of Court
3.1308(a)(1). The Court does not desire
oral argument on the motion addressed herein.

As
required by Rule 3.1308(a)(1), any party seeking oral argument must notify ALL
OTHER PARTIES and the staff of Department 734 by 4:00 p.m. on July 1, 2026.

Notice to Department 734 should be sent by
email to , with opposing parties copied on the email. The high volume of telephone calls to
Department 734 may delay the Court’s receipt of notice, so telephonic notice to
213-830-0776 should be reserved for situations where parties are unable to give
notice by email.

Per
Rule of Court 3.1308, the Court may not entertain oral argument if notice of
intention to appear is not given.

Plaintiff sues Defendant for failure
to bring the subject vehicle into compliance with applicable warranties.

Defendant Mercedes-Benz USA, LLC moves
to compel arbitration and stay this action.

TENTATIVE RULING

Defendant
Mercedes-Benz USA, LLC's motion to compel arbitration and stay this action is GRANTED.
A status conference re: arbitration is set for January 4, 2026 at 8:30 a.m. Status
conference briefs are due by December 18, 2026.

ANALYSIS

Motion To Compel Arbitration and Stay Action

Request For Judicial Notice

Plaintiff
requests that the Court take judicial notice of the list titled "Manufacturers," published and maintained by the Arbitration Certification Program of the California Department of Consumer Affairs, identifying the manufacturers that have elected to opt in to the Lemon Law procedures of Code of Civil Procedure §§ 871.20 to 871.30, retrieved from the Department of Consumer Affairs website at https://www.dca.ca.gov/acp/accepted_manufacturers.shtml and saved as pdf on June 7, 2026. The list identifies "MERCEDES-BENZ USA, LLC" as an opted-in manufacturer, with an opt-in date of April 30, 2025.

The request
is GRANTED. The Court may take judicial notice of agency websites. (See Harley-Davidson, Inc. v. Franchise Tax Bd. (2015) 237 Cal.App.4th 193, 199 n.3; In re Israel O. (2015) 233 Cal.App.4th 279, 290 n.8.)

Discussion

The Court has
reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court deems to be material to the disposition of this motion.

Defendant Mercedes-Benz USA, LLC moves
to compel arbitration and stay this action.

Existence
of Agreement To Arbitrate

Under
California law, arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract. (Blake v. Ecker (2001) 93 Cal.App.4th 728, 741 overruled on other grounds by Le Francois v. Goel (2005) 35 Cal.4th 1094.) A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 356-57.)

Although
Defendant has not properly authenticated the purported arbitration agreement—merely offering a copy of it attached to attorney Macy M. Chan as Exhibit 1 (Consumer Lease Agreement), who would not have personal knowledge of facts sufficient to authenticate the document, Plaintiff did not object to the admissibility of the document.

On
November 19, 2023, Plaintiff entered into a Lease with non-party Keyes European. (Chan Decl., Exh. 1.) Plaintiff's E-signature appears on the signature line right below the language in pertinent part:

By signing below,
you acknowledge that: . . . You have received and read all 10 pages of this lease carefully and agree to all of its terms, INCLUDING THE IMPORTANT ARBITRATION DISCLOSURES ON PAGES 4 AND 5;

(Lease, Page 6 of 10.)

Plaintiff
has not challenged the fact that Plaintiff's signature appears on the document.

The
includes the following arbitration clause which states in pertinent part as follows:

Important Arbitration
Disclosures

The following arbitration provisions significantly affect your rights in any dispute with us. Please read the following disclosures and the arbitration provision that follows carefully before you sign the contract. (Bold emphasis omitted.)

. . .

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successor, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third Party Beneficiary"), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us or a Third Party Beneficiary, be resolved by a neutral binding arbitration and not by a court action. . .

(Chan Decl., Exh. 1, Page 4 of 10 [bold emphasis and underlining added].)

Plaintiff's claims against Mercedes Benz relate to the resulting relationship between Plaintiff and Defendant Mercedes Benz resulting from the lease, i.e., Defendant's warranty obligations.

In the Opposition, Plaintiff argues that Ford Motor Warranty Cases (2025) 17 Cal.5th 1122 prevents Defendant from compelling arbitration because Mercedes-Benz is not a party to the Lease and Plaintiff's claims arise out of MBUSA's manufacturer's warranty and the statutory obligations the Song-Beverly Act imposes, not out of the Lease. Ford Motor Warranty Cases is inapposite because it addressed an estoppel theory asserted by a non-signatory manufacturer, but did not discuss a third-party beneficiary theory. As such, Plaintiff's reliance on the Ford Motor's discussion of whether Plaintiff's claims are intimately founded in and intertwined with a contractual provision is limited to an estoppel argument:

Ford claims it is entitled to compel arbitration by relying on an arbitration clause in the sales contracts between the buyers and seller dealerships. Although acknowledging that arbitration agreements are creatures of contract, and it was not a party to these sales contracts, Ford argues plaintiffs should be estopped from pursuing their remedies in court under an approach put forward in Metalclad Corp. v. Ventana Environmental Organizational Partnership (2003) 109 Cal.App.4th 1705, 1717 [1 Cal.Rptr.3d 328] (Metalclad) and its progeny. Under that analysis, in limited circumstances, if a plaintiff sues a third party to assert a claim that is "'intimately founded in and intertwined with'" a contractual provision, that third party may move to compel arbitration of the claim even though that third party is a stranger to the contract. (Citations omitted.)

We conclude this estoppel approach has no application here. Ford seeks to invoke an arbitration clause in a dispute flowing, not from the contract where the arbitration clause appears, but from obligations imposed by statute or conventional fraud duties. As plaintiffs' claims are not intimately founded in or intertwined with the sales contracts, plaintiffs should not be estopped from pursuing their remedies against Ford in court. The Court of Appeal's judgment is affirmed.

(Ford Motor Warranty Cases (2025) 17 Cal.5th 1122, 1126 [bold emphasis added].)

On the other hand:

Third party beneficiary theory is another exception to the usual rule that only a party to an arbitration agreement may enforce it. (Citation omitted.) Precise argues that it is a third party beneficiary of the employment agreement between Soltero and Real Time because the essential purpose of the employment agreement was to provide labor to Real Time's clients, such as Precise. As a third party beneficiary of the employment agreement, Precise contends that it has standing to enforce the arbitration agreement between Soltero and Real Time that is part of their employment agreement.

In this context, however, the question is not whether the party seeking to compel arbitration is a third party beneficiary of the contract containing the arbitration clause, but whether it is a third party beneficiary of the arbitration clause itself. (Citation omitted.) To invoke the third party beneficiary exception, the nonsignatory "'ha[s] to show that the arbitration clause … was "made expressly for [its] benefit."'" (Citations omitted.)

(Soltero v. Precise Distribution, Inc. (2024) 102 Cal.App.5th 887, 898.)

Here,

Mercedes-Benz USA LLC is a named third-party beneficiary, given the express right to enforce the arbitration agreement. Moreover, statutory warranty-based claims against Mercedes-Benz USA LLC were necessarily contemplated by the parties: indeed, what other role did Mercedes Benz play in this transaction other than manufacturing and distributing the leased vehicle? “We must give significance to every word of a contract, when possible, and avoid an interpretation that renders a word surplusage.” (In re Tobacco Cases I (2010) 186 Cal.App.4th 42, 49 [111 Cal. Rptr. 3d 313].)” (Advanced Network, Inc. v. Peerless Ins. Co. (2010) 190 Cal.App.4th 1054, 1063-64.)

As

such, the Court finds that Mercedes-Benz USA LLC is entitled to enforce the arbitration clause as a third-party beneficiary.

Plaintiff

also argues in the arbitration that Mercedes-Benz forfeited any right to compel arbitration of these claims by irrevocably electing the statutory court-and-mediation procedure of Code of Civil Procedure §§ 871.20 through 871.30. However, this argument is not persuasive. Because there is no case law offering guidance on this specific issue, as set forth below, this Court construes the statutory scheme set forth in Code Civ. Proc. §§ 871.20 through 871.30 offers the buyer of a new vehicle the option, in certain instances, to engage in a certified third party resolution program and to either accept or reject the award, which is binding upon the manufacturer if the buyer chooses to accept the award. This does not weigh in favor of finding that the manufacturer has waived the right to compel contractual arbitration if the buyer files a lawsuit, which the statutory scheme express contemplates is possible.

After Morgan, the desire for procedural uniformity weighs in favor of abrogating California’s arbitration-specific prejudice requirement and applying the same principles in determining whether a party has lost the right to compel arbitration as would apply under generally applicable contract law. (Citation omitted.) Because the state law arbitration-specific prejudice requirement finds no support in statutory language or legislative history, we now abrogate it.

(Quach v. California Commerce Club, Inc. (2024) 16 Cal.5th 562, 582.)

To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it. (Citations omitted.) Under the clear and convincing evidence standard, the proponent of a fact must show that it is “highly probable” the fact is true. (Citation omitted.) The waiving party’s knowledge of the right may be “actual or constructive.” (Citation omitted.) Its intentional relinquishment or abandonment of the right may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with an intent to enforce the contractual right as to lead a reasonable fact finder to conclude that the party had abandoned it. (Citation omitted.)

The waiver inquiry is exclusively focused on the waiving party’s words or conduct; neither the effect of that conduct on the party seeking to avoid enforcement of the contractual right nor that party’s subjective evaluation of the waiving party’s intent is relevant. (Citations omitted.) This distinguishes waiver from the related defense of estoppel, “which generally requires a showing that a party’s words or acts have induced detrimental reliance by the opposing party.” (Citations omitted.) To establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm resulting from the waiving party’s conduct. (Citation omitted.)

(Quach v. California Commerce Club, Inc. (2024) 16 Cal.5th 562, 584-585.)

Here, Mercedes-Benz’s election to opt into Code of Civil Procedure §§ 871.20 et seq. does not demonstrate a waiver of the right to compel contractual arbitration if the buyer files a lawsuit.

(a) Notwithstanding any other law, this chapter applies to an action, brought against a manufacturer who has elected under Section 871.29 to proceed under this chapter, seeking restitution or replacement of a motor vehicle pursuant to subdivision (b) or (d) of Section 1793.2, Section 1793.22, or Section 1794 of the Civil Code, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable express warranty.

(Code Civ. Proc § 871.20(a) [bold emphasis added].)

(a)

(1) A manufacturer may elect to be governed by this chapter for

all actions described in subdivision (a) of Section 871.20 with respect to all of the manufacturer's motor vehicles sold during a period of five consecutive calendar years by providing written notice of that election to the Arbitration Certification Program within the Department of Consumer Affairs by October 31 of the preceding calendar year, except as provided in Section 871.30.

(Code Civ. Proc. § 871.29(a) [bold emphasis and underlining added].)

In turn, Code Civ. Proc. § 871.30 provides:

(a) Within 30 days of the effective date of the act adding this section, a manufacturer may elect to be governed by this chapter for all actions described in subdivision (a) of Section 871.20 with respect to all of its motor vehicles sold in the year 2025 and in all prior years by providing written notice of that election to the Arbitration Certification Program within the Department of Consumer Affairs.

(b) Within 60 days of the effective date of the act adding this section, the Arbitration Certification Program within the Department of Consumer Affairs shall publish to its website the list of all manufacturers that have elected under subdivision (a) to proceed under this chapter for actions related to motor vehicles sold in the year 2025 and in all prior years.

(c) Unless a manufacturer has made the election described in subdivision (a), Sections 871.20 to 871.28, inclusive, shall not apply to an action described in subdivision (a) of Section 871.20, including actions already filed between January 1, 2025 and the effective date of the act adding this section, with respect to all of its vehicles sold new in the year 2025 and in all prior years.

(Code Civ. Proc. § 871.30 [bold emphasis and underlining added].)

So, by adopting during the 30-day window set forth in § 871.30(a), a manufacturer may avail itself of the six-year statute of limitations set forth in Civ. Proc. Code, § 871.21(b) for all vehicles sold in 2025 and in all prior years. The Court notes that Code Civ. Proc. § 871.30(b) refers to "the Arbitration Certification Program within the Department of Consumer Affairs." So the Court must determine why this reference appears in § 871.30(b). In this regard, Bus. & Prof. Code § 472.1 provides”:

The [D]epartment [of Consumer Affairs] shall establish a program for certifying each third-party dispute resolution process used for the arbitration of disputes pursuant to subdivision (c) of Section 1793.22 of the Civil Code. In establishing the program, the department shall do all of the following:

[omitted]

(Bus & Prof Code § 472.1 [bold emphasis and underlining added].)

Bus. & Prof Code § 472.2 provides for an optional qualified third-party dispute resolution process for resolution of Civil Code § 1793.22 claims:

(a) Each manufacturer may establish, or otherwise make available to buyers or lessees of new motor vehicles, a qualified third-party dispute resolution process for the resolution of disputes pursuant to subdivision (c) of Section 1793.22 of the Civil Code. A manufacturer that itself operates the third-party dispute resolution process shall apply to the department for certification of that process. If the manufacturer makes the third-party dispute resolution process available to buyers or lessees of new motor vehicles through contract or other arrangement with another entity, that entity shall apply to the department for certification. An entity that operates a third-party dispute resolution process for more than one manufacturer shall make a separate application for certification for each manufacturer that uses that entity’s third-party dispute resolution process. The application for certification shall be accompanied by the information prescribed by the department.

(Bus. & Prof Code § 472.2(a) [bold emphasis and underlining added].)

In turn, Civil Code § 1793.22, referenced in Bus. & Prof. Code §§ 472.1 and § 472.2, provides for a presumption which the buyer may not use in a lawsuit to enforce Civil Code § 1793.2 rights, until after the buyer and manufacturer have completed the third-party dispute resolution process and the buyer rejects the decision or the manufacturer fails to fulfill the terms of the decision after the buyer accepts the decision:

(a) This section shall be known and may be cited as the Tanner Consumer Protection Act.

(b) It shall be presumed that a reasonable number of attempts have been made to conform a new motor vehicle to the applicable express warranties if, within 18 months from delivery to the buyer or 18,000 miles on the odometer of the vehicle, whichever occurs first, one or more of the following occurs:

(1) The same nonconformity results in a condition that is likely to cause death or serious bodily injury if the vehicle is driven and the nonconformity has been subject to repair two or more times by the manufacturer or its agents, and the buyer or lessee has at least once directly notified the manufacturer of the need for the repair of the nonconformity.

(2) The same nonconformity has been subject to repair four or more times by the manufacturer or its agents and the buyer has at least once directly notified the manufacturer of the need for the repair of the nonconformity.

(3) The vehicle is out of service by reason of repair of nonconformities by the manufacturer or its agents for a cumulative total of more than 30 calendar days since delivery of the vehicle to the buyer. The 30-day limit shall be extended only if repairs cannot be performed due to conditions beyond the control of the manufacturer or its agents. The buyer shall be required to directly notify the manufacturer pursuant to paragraphs (1) and (2) only if the manufacturer has clearly and conspicuously disclosed to the buyer, with the warranty or the owner's manual, the provisions of this section and that of subdivision (d) of Section 1793.2, including the requirement that the buyer must notify the manufacturer directly pursuant to paragraphs (1) and (2). The notification, if required, shall be sent to the address, if any, specified clearly and conspicuously by the manufacturer in the warranty or owner's manual. This presumption shall be a rebuttable presumption affecting the burden of proof, and it may be asserted by the buyer in any civil action, including an action in small claims court, or other formal or informal proceeding.

(c) If a qualified third-party dispute resolution process exists, and the buyer receives timely notification in writing of the availability of that qualified third-party dispute resolution process with a description of its operation and effect, the presumption in subdivision (b) may not be asserted by the buyer until after the buyer has initially resorted to the qualified third-party dispute resolution process as required in subdivision (d). Notification of the availability of the qualified third-party dispute resolution process is not timely if the buyer suffers any prejudice resulting from any delay in giving the notification. If a qualified third-party dispute resolution process does not exist, or if the buyer is dissatisfied with that third-party decision, or if the manufacturer or its agent neglects to promptly fulfill the terms of the qualified third-party dispute resolution process decision after the decision is accepted by the buyer, the buyer may assert the presumption provided in subdivision (b) in an action to enforce the buyer's rights under subdivision (d) of Section 1793.2[1]. The findings and decision of a qualified third-party dispute resolution process shall be admissible in evidence in the action without further foundation. Any period of limitation of actions under any federal or California laws with respect to any person shall be extended for a period equal to the number of days between the date a complaint is filed with a third-party dispute resolution process and the date of its decision or the date before which the manufacturer or its agent is required by the decision to fulfill its terms if the decision is accepted by the buyer, whichever occurs later.

(d) A qualified third-party dispute resolution process shall be one that does all of the following:

. . .

(2) Renders decisions which are binding on the manufacturer if the buyer elects to accept the decision.

. . .

(Civ. Code § 1793.22 [bold emphasis and underlining added].)

The foregoing statutory scheme does not lend itself to an interpretation that by opting-in, the manufacturer has waived the right to compel contractual arbitration if the buyer files a lawsuit, which the statutory scheme express contemplates is possible.

"""When we interpret a statute, '[o]ur fundamental task … is to determine the Legislature's intent so as to effectuate the law's purpose. We first examine the statutory language, giving it a plain and commonsense meaning. We do not examine that language in isolation, but in the context of the statutory

framework as a whole in order to determine its scope and purpose and to harmonize the various parts of the enactment. If the language is clear, courts must generally follow its plain meaning unless a literal interpretation would result in absurd consequences the Legislature did not intend. If the statutory language permits more than one reasonable interpretation, courts may consider other aids, such as the statute's purpose, legislative [*539] history,
and public policy.' [Citation.] 'Furthermore, we consider portions of a statute
in the context of the entire statute and the statutory scheme of which it is a part,
giving significance to every word, phrase, sentence, and part of an act in pursuance
of the legislative purpose.'"" (Citation omitted.)

(In re N.R.
(2023) 15 Cal.5th 520, 538-39 [bold emphasis added].)

The Court finds
that Plaintiff's forfeiture argument is not well-taken.

The
Court finds that Plaintiff agreed to arbitrate the claims asserted in the Complaint.

The
question of arbitrability has been delegated to the arbitrator by virtue of the language "including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue." (Chan Decl., Exh
1, Page 4 of 10.)

Courts have held
that "'[t]here are two prerequisites for a delegation clause to be effective. First,
the language of the clause must be clear and unmistakable. [Citation.] Second, the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability.'" (Aanderud, supra, 13 Cal.App.5th at p. 892.)

(Mendoza v. Trans Valley Transp. (2022) 75 Cal.App.5th 748, 773.

Aanderud v. Superior Court (2017) 13 Cal.App.5th 880, 892 addressed the language in the subject arbitration clause that:

[The parties] "agree to arbitrate all disputes, claims and controversies
arising out of or relating to … (iv) the interpretation, validity, or enforceability
of this Agreement, including the determination of the scope or applicability

of this Section 5 [the “Arbitration of Disputes” section]. …” This language delegates to the arbitrator questions of arbitrability and is clear and unmistakable evidence that the parties intended to arbitrate arbitrability. (See, e.g., Malone v. Superior Court (2014) 226 Cal.App.4th 1551, 1560 [173 Cal. Rptr. 3d 241] [noting delegation clause that provided “ ‘[t]he arbitrator has exclusive authority to resolve any dispute relating to the interpretation, applicability, or enforceability of this binding arbitration agreement’” was clear and unmistakable]; Momot v. Mastro (9th Cir. 2011) 652 F.3d 982, 988 [language that delegated authority to arbitrator to determine “‘the validity or application of any of the provisions of’” the arbitration clause was a clear and unmistakable agreement to arbitrate the question of arbitrability].)

(Aanderud v. Superior Court (2017) 13 Cal.App.5th 880, 892 [bold emphasis and underlining added].)

The Aanderud court used the term “arbitrability” to refer to questions of “interpretation, validity or enforceability” and “scope or applicability.” (Id. at 892.) Based upon this holding, the reference in the subject arbitration clause that the parties delegate any claim or dispute including “the interpretation and scope” of the arbitration provision, and “the arbitrability of this claim or dispute,” is a clear and unmistakable delegation of the issues of validity and enforceability, i.e., as to the defense of unconscionability, which affects validity or enforceability. “The doctrine of unconscionability is a defense to the enforcement of a contract or a term thereof. (Civ. Code, § 1670.5; California Grocers Assn. v. Bank of America (1994) 22 Cal. App. 4th 205, 213 [27 Cal. Rptr. 2d 396].)” (Marin Storage & Trucking, Inc. v. Benco Contracting & Eng’g, Inc. (2001) 89 Cal. App. 4th 1042, 1049.)

The Court finds that the delegation of the question of “arbitrability” delegates issues of scope, applicability, interpretation, validity and enforceability, including the question of unconscionability, to the arbitrator. As such, the Court does not address Plaintiff’s unconscionability argument.

As such, the motion to compel arbitration and stay this action is GRANTED. A status conference re: arbitration is set for January 4, 2026 at 8:30 a.m. Status conference briefs are due by December 18, 2026.

[1]

Plaintiff's third cause of action is for violation of Civil Code § 1793.2.